

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-16

SAMSUNG ELECTRONICS

AMERICA, INC.,

COMPLAINANT,

v.

COSCO SHIPPING LINES CO., LTD.,

RESPONDENT.

**COMPLAINANT SAMSUNG ELECTRONICS AMERICA, INC.
MEMORANDUM IN SUPPORT OF THE PROTECTION OF INADVERTENTLY
PRODUCED PRIVILEGED DOCUMENTS**

Pursuant to the Presiding Officer's June 5, 2026 Order on Document Production (the "June 5 Order"), Complainant Samsung Electronics America, Inc. ("SEA") submits this Memorandum in support of the protection of inadvertently produced privileged documents challenged by Respondent COSCO Shipping Lines Co., Ltd. ("COSCO"). The documents are protected by attorney-client privilege, work product doctrine, and common interest privilege. COSCO has refused to return all of the documents sought to be clawed back. SEA requests that the Presiding Officer enforce the Protective Order terms jointly agreed to between the parties and so Ordered August 15, 2025, and ultimately determine the documents are privileged and order their return.

SEA has submitted the privileged documents for *in camera* review and now this Memorandum and supporting declaration as to privilege assertions, consistent with the June 5 Order and Fed. R. Civ. P. 26(b)(5)(B). The Memo addresses the: (I) procedural background and SEA's compliance with FRCP 26(b)(5)(B); (II) factual background; (III) work product protection; (IV) common interest privilege; (V) lack of waiver; and (VI) COSCO's lack of substantial need.

I. Procedural Background and Compliance with FRCP 26(b)(5)(B)

Late afternoon on Friday, April 24, 2026, COSCO sent an email to SEA counsel identifying three audit-related documents in SEA's production. Upon immediate review over the weekend, SEA determined the materials were privileged; on the first business day thereafter, April 27, 2026, notified COSCO by email to "promptly return" the inadvertently produced privileged work product, "not use [them] for any evidentiary purpose," and "destroy all copies or summaries of, or notes relating to" them, consistent with Rule 26(b)(5)(B) and the Protective Order. SEA's review identified additional inadvertently produced documents in this proceeding and in *Samsung Electronics America, Inc. v. HMM Co., Ltd.*, Dkt. No. 24-23. On May 8, 2026, following further

exchanges with COSCO, SEA sent a formal clawback notice (the “Claw Back Documents”)² and privilege log (the “Privilege Log ”).³

On May 27, 2026 COSCO’s counsel wrote that “COSCO’s position remains that SEA has not provided a basis to establish that the documents that SEA seeks to claw back or withhold are protected from disclosure,” and that “SEA is not entitled to the return of the documents it seeks to claw back.” COSCO’s refusal to confirm that the materials will not be read, reviewed, summarized, shared, or used for any affirmative purpose in connection with any aspect of this litigation contravenes both the Rule and the Protective Order.⁶

On May 28, 2026, SEA notified COSCO that, regardless of COSCO’s position, the materials “should not be read, reviewed, summarized, shared, or used for any affirmative purpose in connection with any aspect of this litigation, including but not limited to depositions or expert opinions,” and that “[a]ny contrary conduct by COSCO or its counsel would constitute a violation of the Protective Order and the DC Rules of Professional Conduct.” COSCO did not confirm compliance. On June 5, 2026, the Presiding Officer issued the June 5 Order directing submission of challenged documents for *in camera* review by June 8, 2026.

² SEA’s claw back was performed in accordance with ¶¶ 14-15 of the parties’ Protective Order and FRCP 26(b)(5)(B). The parties’ Protective Order specifically provides that FRE 502(b) does not apply. *See* Protective Order at 10; June 5 Order at 2 n.1.

³ The Claw Back Privilege Log includes entries designated SEA-PRIV-00001 through SEA-PRIV- 00145, reflecting emails that were not produced to COSCO because they are privileged and/or not relevant or responsive. These documents were added sequentially with the Claw Back Documents to add context to SEA’s privilege assertions by demonstrating the involvement of counsel in directing the evaluation of D&D charges information for potential litigation and providing another foundational basis for the work product privilege.

⁶ Courts have not required the privilege holder to provide evidence establishing every element of privilege for each document absent a specific challenge. *See S.E.C. v. Beacon Hill Asset Mgmt. LLC*, 231 F.R.D. 134, 1441 (S.D.N.Y. 2004) (“Any other procedure would transform the requirement of providing an index of withheld documents into an obligation to provide evidence of every element of the privilege as to every document withheld.”)

SEA has fully complied with FRCP 26(b)(5)(B) by: (i) promptly notifying COSCO of the privilege claim; (ii) providing detailed privilege logs; (iii) preserving all documents subject to the privilege claim; and (iv) submitting the challenged documents for *in camera* review. Under FRCP 26(b)(5)(B), once a producing party notifies of a privilege claim, the receiving party “must promptly return, sequester, or destroy the specified information” and “must not use or disclose the information until the claim is resolved.” COSCO refused to comply. SEA has submitted the Privilege Log, the documents identified thereon, and an updated Privilege Log Key noting each person by name, email, job title, and entity to assist the Presiding Officer’s *in camera* review.⁷

II. Factual Background: Work in Anticipation of Litigation⁸

All Claw Back Documents relate to collecting and compiling data and information relating to demurrage and detention (“D&D”) charges SEA was forced to pay during the pandemic, to assess potential claims for recovery (the “Internal Investigation”).⁹ The Internal Investigation was initiated and conducted in 2022 at the direction of SEA counsel. Murata Decl ¶ 7. In late 2021, SEA counsel, in coordination with its parent company, began evaluating the substantially increased D&D charges assessed by ocean carriers. *Id.* ¶ 5. SEA’s legal and business personnel began conducting the Internal Investigation. *Id.* ¶ 7. The Internal Investigation was not an audit conducted in the normal course of business but was instead commenced in anticipation of

⁷ The Privilege Log identifies the Claw Back Documents by *inter alia* corresponding Bates number, privilege type, and privilege description. Work product protection applies to documents prepared in anticipation of litigation at counsel’s direction as discussed *infra* at III, and common interest protection applies to documents shared amongst Samsung affiliates as discussed *infra* at IV. The Privilege Log Key identifies all individuals listed in the Privilege Log, **and legal personnel are in red in the Privilege Log for ease of reference.**

⁸ This section is provided solely as background and contextual information on the Claw Back Documents. To the extent it references or reflects potentially privileged or protected material, such disclosures are limited in scope and are not intended to, and shall not, constitute a waiver of any applicable privilege, protection, or immunity, including any subject matter waiver.

⁹ Declaration of Ken Murata, General Counsel, SEA. (“Murata Decl.”) ¶¶ 4-5.

litigation. *Id.* In early February 2022, SEA counsel instructed logistics, accounting, and other departments to gather carrier data and develop audit tools, including dedicated SAP transaction codes¹² for D&D rate tables, a program to upload missing data, and a program to investigate charges. Murata Decl. ¶ 8. These steps formed the foundation of the “IEC 2021 Post-Audit” Internal Investigation. The SEA and SEC personnel involved in the Internal Investigation were aware that their work was undertaken for litigation purposes, and that the resulting work product was created in anticipation of litigation. *Id.* On February 15, 2022, SEA’s legal personnel discussed the Internal Investigation and evaluating potential litigation against ocean carriers, including COSCO, with Holland & Knight LLP. Murata Decl. ¶ 9.

SEA continued to develop the processes to support the Internal Investigation at the direction of SEA counsel, and with SEC’s involvement. *Id.* ¶ 10. Documents generated as to those efforts, including data compilations, tables, system configurations, and internal communications, were created and undertaken at counsel’s direction and in anticipation of litigation. *Id.*

Also in February 2022, SEA engaged outside counsel, Holland & Knight LLP, to assist with analyzing Internal Investigation information and evaluating potential litigation. *Id.* ¶ 9. By February 22, 2022, preparations for the Internal Investigation were complete, and from February 23 through March 24, 2022, SEA’s accounting team collected financial data and mapped D&D invoice processes within SAP. *Id.* ¶ 11. SEA’s counsel attended a March 24 meeting with persons involved in the Internal Investigation to discuss and evaluate the continued Internal Investigation, and on or around April 1, 2022, SEA’s legal team and Holland & Knight LLP, commenced coordinating and ultimately meeting with various individuals involved in the Internal Investigation. *Id.* ¶¶ 12-13. Activities continued through early June 2022, involving multiple SEA

¹² A SAP transaction code provides direct access to specific programs without navigating menus.

departments and communications over which SEA's legal team maintained direct involvement and coordination. *Id.* ¶¶ 14-15. However, because of the scope of the Internal Investigation, not all day-to-day communications among persons involved in the Internal Investigation necessarily copied SEA counsel on every communication. *Id.* ¶ 16.

In June 2022, SEA's in-house and outside counsel met in SEA's Texas office to review the Internal Investigation and potential litigation. Murata Decl. ¶ 18. SEA filed its first FMC complaint against an ocean carrier on October 13, 2022, and this Complaint against COSCO on March 22, 2024, following failed settlement talks as described in the Complaint. *Id.* ¶¶ 20-22.

III. The Work Product Doctrine Protects the Audit Documents

The Claw Back Documents are protected by the work product doctrine. Under FRCP 26(b)(3)(A), documents prepared “by or for” a party in anticipation of litigation are protected. *See Hickman v. Taylor*, 329 U.S. 495, 511 (1947). The D.C. Circuit applies the “because of” test: a document qualifies as work product if it “can fairly be said to have been prepared or obtained because of the prospect of litigation.” *United States v. Deloitte LLP*, 610 F.3d 129, 137 (D.C. Cir. 2010).²² The prospect of litigation need not be imminent; it need only be fairly foreseeable. *In re Sealed Case*, 146 F.3d 881, 884 (D.C. Cir. 1998). Here, the claw back documents are comprised of communications, data, and documents obtained, prepared, and compiled at counsel's direction as part of an Internal Investigation undertaken in anticipation of litigation. SEA contemplated litigation against ocean carriers to recover D&D charges wrongfully demanded and paid and thus undertook the Internal Investigation because of anticipated litigation.

The doctrine does not require an attorney's name to appear on a document. In *United States v. Nobles*, 422 U.S. 225, 238 (1975), the Supreme Court held that work product protection extends

²² The same standard is applied by the Second, Third, Fourth, Seventh, and Eighth Circuits.

to materials “prepared by agents for the attorney.” Under Rule 26(b)(3), protection covers materials prepared by any party representative. *See U.S. Equal Emp. Opportunity Comm’n v. George Washington Univ.*, 342 F.R.D. 161, 171 & n.7 (D.D.C. 2022). Corporate employees who collect and compile information in anticipation of litigation are considered part of the corporation for privilege purposes. *See F.T.C. v. GlaxoSmithKline*, 294 F.3d 141, 148 (D.C. Cir. 2002). Accordingly, information and materials collected at the direction of counsel constitutes work product, even where underlying documents were created by non-legal personnel. *See Hertzberg v. Veneman*, 273 F. Supp. 2d 67, 77-78 (D.D.C. 2003). Here, although counsel are not themselves copied on the documents being clawed back, the documents at issue are nonetheless privileged work product. SEA business personnel created the Internal Investigation documents at the direction of counsel to aid in counsel’s assessment of legal claims relating to D&D charges. Furthermore, individuals involved in the Internal Investigation understood that the purpose was litigation-related and not in the normal course of business. Murata Decl. ¶ 11. In this instance, the documents were not normal course business records repurposed after the fact to falsely bring them under the privilege umbrella. Rather, the Claw Back Documents were prepared at counsel’s direction and in anticipation of litigation and fall squarely within work product protection.

IV. Corporate Affiliates on Communications Do Not Destroy Privilege

Emails between SEA and Samsung affiliates remain privileged under the corporate-affiliate and the common interest doctrines which permit parents, subsidiaries, and affiliates to share privileged information without waiver where the disclosure furthers a common legal interest. *Holland v. Island Creek Corp.*, 885 F. Supp. 4, 6-7 (D.D.C. 1995). Courts in the D.C. Circuit recognize a corporate “client” may include “parent, subsidiary, and affiliate corporations,” and that privileged information may be shared among entities without waiver where the entities have a common legal interest and the communications remain confidential. *United States v. Am. Tel. &*

Tel. Co., 86 F.R.D. 603, 615–16 (D.D.C. 1979); *Holland.*, 885 F. Supp. at 6–7. Where the proponent shows “a substantial identity of legal interest in the specific matter, it therefore makes no difference whether the two corporations were so affiliated as to be a single ‘client.’” *Am. Tel. & Tel. Co.*, 86 F.R.D. at 616.

The common interest doctrine applies equally to work product shared in furtherance of that joint legal effort. *Delgado v. Donald J. Trump for President, Inc.*, No. 19-CV-11764 (AT) (KHP), 2024 WL 3220377, at *4 (S.D.N.Y. June 26, 2024). Courts have likewise upheld the common interest privilege in the parent-subsidary context and it protects not only communications with counsel, but also emails exchanged as part of a coordinated legal strategy. *JA Apparel Corp. v. Abboud*, No. 07 Civ. 7787(THK), 2008 WL 111006, at *2-4 (S.D.N.Y. Jan. 10, 2008); *Cary Oil, Inc., v. MG Refining & Marketing, Inc.*, No. 99 Civ. 1725(VM)(DFE), 2000 WL 1800750 at *6–7 (S.D.N.Y. Dec. 7, 2000).

That standard is satisfied here. SEA and Samsung shared a common legal interest in evaluating potential claims against ocean carriers for D&D charges unfairly assessed against SEA for goods shipped from foreign manufacturers to America via foreign ocean carriers. Aligned in interest on this issue, SEA’s legal team apprised Samsung headquarters of the Internal Investigation and worked with SEA in evaluation of potential legal claims. Murata Decl. ¶¶ 4-5. Communications between SEA and its parent were exchanged confidentially during the Internal Investigation, in anticipation of litigation and under counsel’s direction and supervision, and are privileged as part of a coordinated legal strategy between aligned entities.

V. The Protective Order Precludes Waiver Under FRE 502

Protection for the Claw Back Documents has not been waived. COSCO’s argument that protection has been waived under FRE 502(b) fails for two reasons. First, as the Court has already recognized, the Protective Order’s 502(d) provision displaces the 502(b) framework. Paragraph 14

provides that documents are subject to “the maximum protection allowed by Federal Rule of Evidence 502(d)” and that “[t]he provisions of Federal Rule of Evidence 502(b) do not apply.” Protective Order ¶14; *see* Declaration of Marisa Marinelli ¶¶ 9,12 (the Protective Order’s 502(d) provision was expressly negotiated by counsel). Courts consistently hold that where parties have agreed to such a protective order, the 502(b) analysis does not apply.²³ Second, even under the “completely reckless” standard applicable where a protective order exists, SEA’s conduct was not reckless.²⁴ The Claw Back Documents could not readily be identified as privileged because they were communications among SEA employees who were obtaining information in anticipation of litigation but did not directly reference an attorney in emails. SEA employed technology-assisted review to produce over 2 million pages of documents; the 219 Claw Back Documents represent a negligible fraction. *See, e.g., Kaneka Corp. v. Cocystal Tech. (Jiaxing) Co.*, 801 F. Supp. 3d 164, 171–72 (E.D.N.Y. 2025); *In re Google Digital Advert. Antitrust Litig.*, No. 21-MD-3010 (PKC), 2023 WL 196146, at *2 (S.D.N.Y. Jan. 17, 2023). SEA acted promptly: on April 24, opposing counsel identified three document that raised the issue; by April 27, SEA notified COSCO that the documents were privileged and that other, similar, inadvertently produced documents might exist and promptly commenced a systematic review of the production; and on May 6 SEA transmitted a formal claw back notice on all of the Claw Back Documents with the Privilege Log.²⁵

Even if FRE 502(b) applied—which it does not—each factor would weigh in SEA’s favor.

²³ *See Spectrum Dynamics Medical Limited v. General Electric*, No. 18-CV-11386, 2021 WL 3524081, at *4 (S.D.N.Y. Aug. 10, 2021); *United States v. Wells Fargo Bank, N.A.*, No. 12 Civ. 7527, 2015 WL 5051679, at *2 (S.D.N.Y. Aug. 26, 2015).

²⁴ *See In re OpenAI Copyright Infringement Litig.*, No. 25-MD-3143 (SHS) (OTW), 2026 WL 1361677, at *2 (S.D.N.Y. May 14, 2026).

²⁵ The inadvertent production to HMM in Docket No. 24-23 does not constitute waiver. The Protective Order in that case explicitly states FRE 502(b) shall not apply, too. Further, SEA took reasonable, immediate action to claw back inadvertently produced materials in that case.

Under 502(b), production does not constitute waiver if disclosure was “inadvertent,” the holder “took reasonable steps to prevent disclosure,” and “promptly took reasonable steps to rectify the error.”²⁶ The inadvertent disclosure must be considered within SEA’s massive production, *see Kaneka*, 801 F. Supp. 3d at 171–72; SEA responded promptly (withing one business day) to the initial three documents, immediately undertook a thorough review of the production for other documents, and provided the Claw Back Notice within 11 days, *see Wells Fargo*, 2015 WL 5051679, at *2 (finding claw back six weeks after notification reasonable); the massive scope of discovery and small number of claw back documents weigh definitively in SEA’s favor, *see BNP Paribas Mortg. Corp. v. Bank of Am., N.A.*, Nos. 09 CIV. 9783 RWS, 2013 WL 2322678, at *7–8 (S.D.N.Y. May 21, 2013); and fairness weighs against waiver because it “focuses only on whether the act of restoring immunity to an inadvertently disclosed document would be unfair,” *Wells Fargo*, 2015 WL 5051679, at *3, and here, COSCO suffers no prejudice from restoring immunity to the Claw Back Documents.

VI. COSCO Cannot Demonstrate Substantial Need

To the extent COSCO asserts substantial need under Fed. R. Civ. P. 26(b)(3)(A)(ii), that argument fails for multiple reasons. First, COSCO has full access to the underlying charge data at issue in this case through its own systems. COSCO maintained, generated, and imposed the very charges it imposed upon SEA directly or through its subcontractors, and thus possesses the primary source data necessary to evaluate SEA’s claims and the damages SEA seek recovery on. COSCO

²⁶ Some courts apply a five-factor test: (1) reasonableness of precautions; (2) time to rectify; (3) scope of discovery; (4) extent of disclosure; (5) fairness. *Dorce v. City of New York*, No. 19 Civ. 2216, 2024 WL 139546, at *5 (S.D.N.Y. Jan. 12, 2024). Under this rubric, the factors also support SEA’s position as to the reasonableness of product efforts; the swift SEA action; the massive production and modest Claw Back; and fairness with both parties jointly having entered into a Protective Order to avoid litigation sideshows like this because COSCO will not honor the Protective Order it negotiated and jointly submitted to the Presiding Officer.

should have contemporaneous factual collections of D&D information COSCO charged SEA—and information on its reasons for doing so. COSCO cannot claim substantial need for SEA’s work product in the collecting and initial assessing of D&D data as substitute for its own evidence.

Second, charges imposed by other ocean carriers on SEA have no bearing on its claim against COSCO or COSCO’s defense, which must be litigated on their own merits.

Third, the Claw Back Documents lack independent evidentiary value for damages or liability analysis. ALJs have held liability must be established charge-by-charge, with experts analysis. Said Documents do not, as COSCO may hope, establish facts of, or assessment of, COSCO or SEA fault that any party could reply upon to show charge by charge proof of liability.

VI. CONCLUSION

COSCO should not be allowed to disavow the Protective Order entered to protect both parties from primarily waiver of privilege claims such as COSCO’s here. The Claw Back Documents are privileged work product prepared at counsel’s direction in anticipation of litigation, SEA did not waive privilege and as COSCO lacks any substantial need, COSCO should be ordered to return, sequester, or destroy the materials and prohibited from any use or disclosure.

Respectfully Submitted,

HOLLAND & KNIGHT LLP

By: /s/ Kristine Little

Christopher R. Nolan
Marisa A. Marinelli
Allison Skopec
787 7th Avenue
New York, NY 10019
Telephone: (212) 513-3200
chris.nolan@hkllaw.com
marisa.marinelli@hkllaw.com
allison.skopec@hkllaw.com

Gerald A. Morrissey III
Kristine O. Little
800 17th Street N.W., Suite 1100
Washington, D.C. 20006
Telephone: (202) 469-5497
gerald.morrissey@hkllaw.com
kristine.little@hkllaw.com

Counsel to Complainant Samsung Electronics America, Inc

CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

JEFFREY/FENNEMAN LAW +
STRATEGY, PLLC
Eric C. Jeffrey
EJeffrey@JeffreyFenneman.com
Rebecca A. Fenneman
RFenneman@JeffreyFenneman.com
Kaya C. Massey
KMassey@JeffreyFenneman.com
Nicholas L. Webb
NWebb@JeffreyFenneman.com
700 12th Street, NW Suite 700
Washington, DC 20005

NIXON PEABODY, LLP
Gordon L. Lang
Glang@nixonpeabody.com
Brian J. Whittaker
BWhittaker@nixonpeabody.com
Martha A. Medina
mmedina@nixonpeabody.com
799 9th Street NW, Suite 500
Washington, DC 20001-5327

HOHENSTEIN & PARKINSON, LLP

James H. Hohenstein
Sheryl K. Parkinson
Jim.hohenstein@hplawnyc.com
Sheryl.parkinson@hplawnyc.com
385 South End Avenue, #5K
New York, NY 10280

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/s/Kristine O. Little

Kristine O. Little